



ECONOMICS IN 60 SECONDS

Issue #009

Incentives

People rarely change because you ask them to. They change when you change the incentives.



TIMELESS IDEAS. EVERYDAY IMPACT.

THE SKY OPENS AT SIX O'CLOCK

**It starts to rain.
Suddenly, every
driver is available.**

Minutes ago the app said no cars. Then the downpour begins, the price climbs, and from nowhere the streets fill with drivers. Nobody phoned them. Nobody begged. The same people who were unavailable are suddenly on their way.

What actually **changed?**

NOT THE WEATHER. THE REWARD.

The rain did not
summon the drivers.
The price did.

A driver finishing dinner sees the fare double and reaches for the keys. Nothing about them changed. The reward changed, and behaviour followed within minutes. That quiet pull is the most powerful force in economics.



A FORCE WITH TWO FACES

People respond to incentives. Not always the way you hoped.

AS INTENDED

Reward the right thing, and people deliver it.

AS NEVER INTENDED

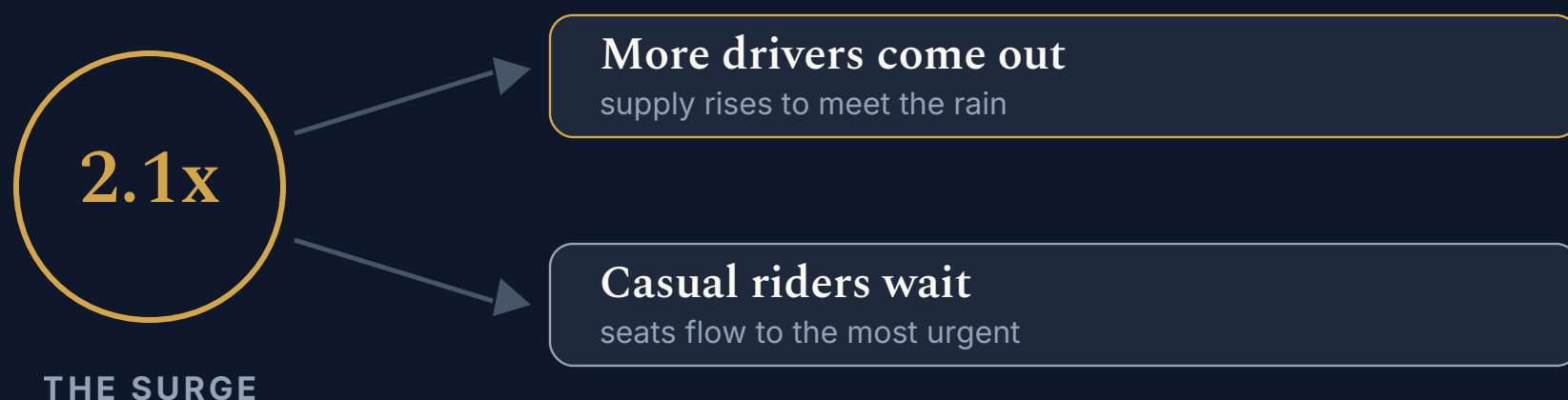
Reward the wrong thing, and people deliver that instead.

A colonial bounty on dead cobras once led people to breed cobras for the reward. The incentive worked perfectly. That was the problem.

UBER SURGE PRICING

A price that solves a shortage in real time.

When demand spikes, the higher fare does two jobs at once. It pulls more drivers onto the road, and it gently rations seats toward those who need the ride most. The surge is not greed. It is an incentive, balancing a market minute by minute.



YOU GET WHAT YOU REWARD

**Show me the bonus,
and I will show you
the behaviour**

Pay for volume

You get volume, even where quality should have won.

Reward speed

Work gets faster, and sometimes quietly worse.

Bonus on this quarter

Next quarter becomes someone else's problem.

Loyalty points

A free coffee quietly rewires where you buy.

A tax is not just revenue. It is a **message**: do less of this. A subsidy whispers: do more.

Tax tobacco and smoking falls. Subsidise solar and rooftops bloom. But aim carelessly and the message distorts: a tax on windows once left houses built without them. Policy is incentive design, and the target must be chosen with care.

QUIETLY STEERING YOU ALL DAY

You are nudged more than you know

The progress bar that pulls you to finish. The free delivery that lifts your basket past a threshold. The streak you cannot bear to break. None of these command you. Each simply changes the reward, and your behaviour quietly bends toward it.

The streak

Free delivery

The progress bar



What behaviour around you looks like a people problem, but is really an incentive pointing the wrong way?

Name it below. The sharpest answer shapes a future issue.



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ONE IDEA. BETTER DECISIONS.

Next issue, #010 · The Sunk Cost Fallacy

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